

MEMORANDUM OF UNDERSTANDING

(MOU)

BETWEEN

LIPAGAS LIMITED, a limited liability company incorporated under the laws of Kenya, with its principal office at Pine Tree Plaza, Kamburu Drive, Kilimani, Nairobi ("LipaGas"), also referred to as the technology solutions partner, of P.O. Box 233 - 00100, Kenya;

AND _____, a limited liability company incorporated under the laws of Kenya (hereinafter referred to as "the Distribution/Trade Partner"), with its principal office at _____ of P.O. Box _____.

1. PURPOSE

This Memorandum of Understanding ("MOU") sets out the mutual collaboration between LipaGas and the Distribution/Trade Partner to enhance the distribution of legitimate and certified LPG cylinders across Kenya through the LipaGas Digital Platform.

- The Distribution/Trade Partner shall supply LPG cylinders in bulk to registered agents or fulfillment centers.
- The agents shall fulfill customer orders dispatched through the LipaGas Platform.

- LipaGas shall coordinate digital order processing, customer management, and transaction oversight, while charging platform fees only to the agents and not to the Distribution/Trade Partner .

Under this partnership, The distribution/trade partner in partnership with LipaGas will market and support the platform with other third parties such as brand owners.

2. ROLES AND RESPONSIBILITIES

2.1 LipaGas Obligations

- Provide the Distribution/Trade Partner with controlled access to the LipaGas Platform, limited exclusively to data and reports relating to their own operations, including logistics visibility, stock movement, inventory coordination for agents they directly supply, and sell-out reports of agents .
- Manage agent onboarding, digital order processing, and fulfillment tracking.

- Issue digital delivery notices to the relevant fulfillment agent for each order received through the system.
- Collect and retain platform fees from agents (fulfillment centers) only; LipaGas shall not charge any commission or fee to the Distribution/Trade Partner.
- Maintain Data Protection compliance and safeguard customer data.
- Ensure fair co-branding visibility and digital performance reports for both parties.

2.2 Distribution/Trade Partner Obligations

- Supply legitimate and certified LPG cylinders to registered agents (fulfillment centers) affiliated with the LipaGas Platform.
- Maintain adequate stock levels and timely replenishment to ensure uninterrupted fulfillment.
- Guarantee product authenticity, safety, and regulatory compliance at all times.
- Support logistics coordination with agents and ensure transparent record-keeping.
- Promote the partnership in alignment with LipaGas' brand standards.

3. REVENUE STRUCTURE AND FEES

3.1 Platform Fees (Agents Only)

LipaGas shall, at its sole discretion, charge a platform service fee of five percent (5%) or a fixed charge of Kenya Shillings Ten (KES 10) per kilogram (kg) of LPG transacted, as specified in Annex A. These fees shall apply only to registered agents (fulfillment centers) utilizing the LipaGas Platform for customer order fulfillment.

3.2 Distribution/Trade Partner Exemption

The Distribution/Trade Partner shall not be charged any platform or commission fees by LipaGas. Their commercial gain shall derive solely from increased LPG cylinder distribution and offtake to agents.

3.3 Settlement & Transparency

LipaGas shall furnish the Distribution/Trade Partner with periodic reports on agent orders and fulfillment data for transparency, without disclosing private customer information. LipaGas & Gas2go will work in an open manner on reporting, not limited to providing customer information for legal compliance, transparency for purposes of ensuring business growth for both parties.

4. BRANDING AND REPRESENTATION

- a. Both parties may co-brand marketing materials.
- b. Agents and fulfillment centers must display the LipaGas identity as the digital service provider.
- c. The Distribution/Trade Partner may display its co-brand on delivery trucks and storage facilities used in the partnership.
- d. Intellectual Property in the LipaGas Platform, trademarks, and digital content remain the sole property of LipaGas Limited. Intellectual properties for Gas2go remain the sole property of Mitanna Gases Limited.

5. DATA OWNERSHIP, PRIVACY & PROTECTION

- a. All customer, retailer, and transaction data on the LipaGas Platform shall remain the exclusive property of LipaGas Limited.
- b. The Distribution/Trade Partner may access only aggregated operational data related to deliveries and agent performance.
- c. LipaGas shall not share or disclose customer phone numbers, personal details, or contact data with the Distribution/Trade Partner or any third

party, in compliance with the Data Protection Act (Kenya), 2019.

- d. Both parties shall maintain appropriate safeguards to prevent unauthorized access, loss, or misuse of data.
- e. Any breach of data protection provisions shall constitute a material breach and attract penalties per Clause 9.

6. TERM AND TERMINATION

- a. This MOU shall remain in effect for twelve (12) months, renewable by mutual consent.
- b. Either party may terminate with 30 days' written notice.
- c. Either party may terminate immediately upon non-compliance with safety or regulatory standards or conduct damaging to their reputation.

7. CONFIDENTIALITY

All technical, commercial, and operational information shared shall remain confidential. Breach attracts damages equivalent to three months' average transaction value processed under this MOU.

8. INDEMNITY

Each party agrees to indemnify the other against losses arising from negligence, regulatory

breach, or data misuse within its respective control.

9. DISPUTE RESOLUTION

Disputes shall first be resolved amicably within 14 days; failing which, referred to arbitration in Nairobi under the Arbitration Act (1995).

10. GOVERNING LAW AND JURISDICTION

This MOU is governed by the Laws of Kenya. Jurisdiction lies with the High Court of Kenya at Nairobi.

11. FORCE MAJEURE

Neither party shall be liable for non-performance due to causes beyond reasonable control.

12. SEVERABILITY

If any clause is found invalid, the remainder shall continue in force.

13. ENTIRE AGREEMENT

This MOU, including Annexes A and B, constitutes the full agreement and supersedes all previous arrangements.

14. EXECUTION AND EFFECT

Executed in two (2) originals, one retained by each party, effective upon the date of last signature.

The Distribution/Trade Partner certifies that this information is true and accurate.

ANNEX A - COMMERCIAL TERMS A.1 Platform Fee Schedule

- **Transaction Type:** LPG Cylinder Sale
- **Platform Fee (Applied to Agents):** 5% or KES 10 per kg (at LipaGas' discretion)
- **Fee Retained By:** LipaGas
- **Payment Mode:** Auto deduction from agent payments

A.2 Data Access & Control

1. The Distribution/Trade Partner receives aggregate delivery data only.
2. Customer personal data remains confidential to LipaGas.

ANNEX B – LPG BRAND DISTRIBUTION

AUTHORIZATION The Distribution/Trade Partner confirms authorization to distribute the following LPG brands and shall attach the corresponding certificates or authorization letters from brand owners.

☐ TotalEnergies ☐ ProGas ☐ Afrigas ☐ K-Gas ☐
Lake Gas ☐ Other (Specify):

SIGNED BY:

For and on behalf of LipaGas Limited

Registered Address: LipaGas Limited, P.O. Box
233-00100, Nairobi, Kenya.

Name: Mukira Gitonga

_Designation: CEO

Signature: _____

Date: 23rd March 2026

SIGNED BY:

For and on behalf of

Name: _____

Designation: _____

Signature: _____

Date: _____